Chapter 2

# Boosting Online Business Growth with AI

IN THIS CHAPTER


» **Developing a competitive edge**

» **Building your brand**

» **Getting higher quality traffic**


Would you like to hire a free business strategy consultant who can help your company gain a competitive edge? Luckily, you have several good choices. AI apps can act as your digital consultant. They can help you research your competitors and make customized plans for your company's needs.

This chapter explores several ways AI apps can help boost your company's online business growth:

- Outsmarting your competitors
- Enhancing brand building
- Maximizing your conversions
- Scaling paid advertising return on investment (ROI)
- Tracking key performance indicators (KPIs) with AI
- Innovating new offerings

## Outsmarting Your Competitors

AI tools are becoming increasingly popular because they can effectively identify market trends and consumer behavior better than traditional methods. They let you "see around corners" and hopefully outthink the competition.

Adopting AI tools helps you gain an advantage that is difficult for other businesses to equal without using their own AI tools. By implementing AI tools customized to your specific business goals, you can future-proof your strategy and boost growth.



TIP Many business leaders have started to embrace AI tools, specifically GenAI. According to the 2023 KPMG AI Survey, 74 percent of business leaders put AI as the top emerging technology that will impact their business over the next year and a half.

AI can analyze your competitors' digital strategies by looking at such things as the keywords they use for search engine optimization (SEO), where their web traffic comes from, their ad spending, and their customers' social media engagement. Analyzing these elements helps you find their weaknesses and blind spots to exploit them. In the following sections, we look at each of these in turn.

## Analyzing competitor keywords

To begin, you can use AI tools to analyze your top competitors' websites. You should identify the keywords they rank for in search engines and their keyword gaps (that is, search terms they don't target). In fact, identifying keyword gaps is one of the most valuable features of AI-powered keyword analysis. These gaps are search terms that your competitors aren't targeting but that are relevant to your business. Discovering them is important because it helps you find untapped opportunities in the marketplace.



**REMEMBER** *Keywords* are the words and phrases that potential customers type into search engines. You can drive traffic to your website by ranking for the right keywords and increasing conversions. When selecting an AI tool for keyword analysis, consider factors like ease of use, data accuracy, and cost. Tools to consider include the following:

- **Semrush (`www.semrush.com`):** Semrush, as shown in Figure 2-1, allows you to evaluate your competitors' various SEO metrics, including the authority score, referring domains, backlinks, and search traffic.
- **Ahrefs (`https://ahrefs.com/keywords-explorer`):** The Ahrefs Keywords Explorer, shown in Figure 2-2, lets you discover a competitor's top-ranking keywords. You can sort by search volume and difficulty to uncover the best opportunities.

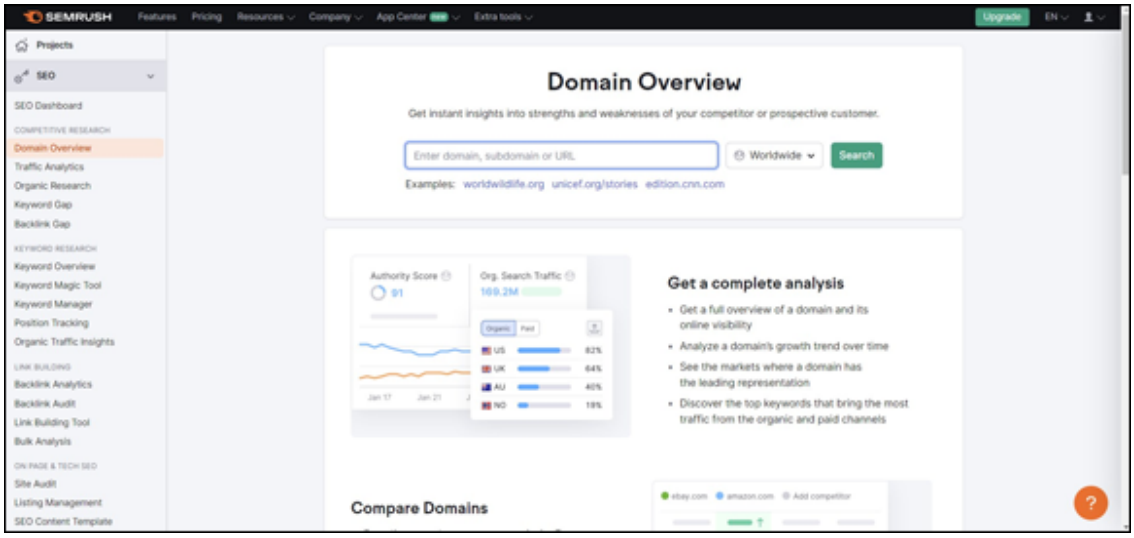



**FIGURE 2-1:** Semrush's research tools.

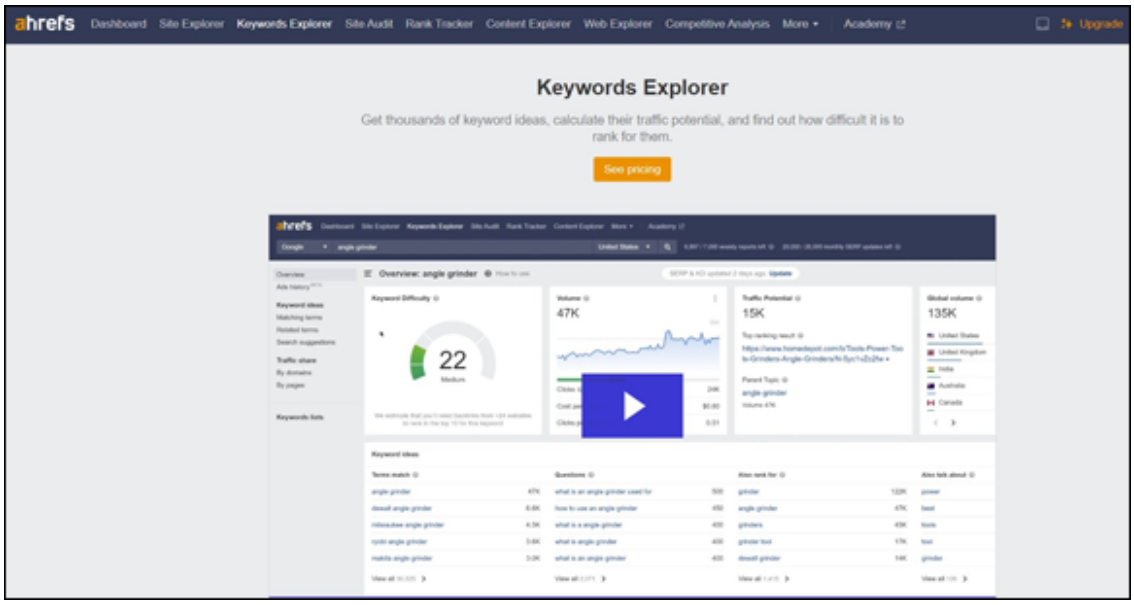



**FIGURE 2-2:** The Ahrefs Keywords Explorer.

## Discovering traffic sources

Do you know where your competitors' traffic is coming from? You should. Understanding where their traffic comes from is critical for crafting your own marketing strategy. It can help you identify where you should be focusing your resources.

AI tools can analyze competitors' website traffic sources by looking at such things as

- **Organic searches:** Look at the keywords driving traffic to your competitors' sites. Are there any you haven't targeted yet?
- **Social media engagement:** Analyze which platforms are the most effective for your competitors and the type of content that gets the most engagement. This provides you with clues about what your audience wants.
- **Paid ads:** Identify the keywords and platforms where your competitors invest in paid advertising. This can tell you where they are seeing the highest ROI. This is a great way to know what to invest in without having to experiment.

The preceding information lets you find your competitors' seldom-used channels (for example, less well-known social media platforms or niche forums). Then, you can optimize your marketing strategy accordingly.

Some tools to consider include the following:

- **Similarweb (`www.similarweb.com`):** This AI-powered market platform analyzes a website's traffic sources and channels. It breaks down things like referrals, search, social, and paid traffic.
- **BuzzSumo (`https://buzzsumo.com/use-cases/competitor-intelligence`):** This content tool analyzes your competitors' KPIs. You see metrics such as likes, shares, and comments.



TIP Understanding your competitors' traffic sources is not just about keeping tabs on them. It's about refining your own strategy. By leveraging AI tools, you discover insights that were once only found by expert marketers.

### Monitoring ad spending

Use AI tracking tools to determine how much competitors spend on search, social, display, and other online ads. This helps you determine the level of paid marketing you need to spend to stay ahead. Make sure to adjust your ad budgets to gain the edge.

Here are some tools to try:

- **SpyFu (`www.spyfu.com`):** SpyFu tracks competitors' paid search ad keywords, ad copies, and their estimated monthly spending on Google, Bing, and YouTube.
- **Moz (`https://moz.com/competitive-research`):** Moz has a suite of SEO tools to assist with keyword research, rank tracking, and backlink analysis. Of particular interest in competitive intelligence is their free SEO Competitive Analysis Tool. You can use it to analyze your competitors' domains to get a wealth of information.



TIP To learn more about AI in advertising, see the "Scaling Paid Advertising ROI" section, later in this chapter.

### Analyzing social media performance

AI can track competitors' social media followers, engagement, hashtags, mentions, and influencer partnerships. You can use these insights to shape a more effective social media approach for your company. Consider trying these tools:

- **Brandwatch (`www.brandwatch.com`):** Brandwatch is a social listening platform that tracks competitors' followers, engagement, sentiment, and influencers.
- **Talkwalker (`www.talkwalker.com`):** The Talkwalker platform tracks social performance, customer feedback, sentiment, and trends.

## Enhancing Brand Building

Another way to boost online business growth is to enhance the branding that resonates with your audience. You can use AI tools to do things like refine your visual identity, simplify your messaging, and clarify your tone of voice. The key is to utilize AI's creative capabilities while staying true to your brand identity. In the following sections, we look at these ways to leverage AI to make your branding more compelling.

### Refining visual brand identities

Visual assets like logos, fonts, color palettes, and imagery must reflect your brand DNA. AI tools can help you refine your branded visuals by allowing you to analyze elements in ways you couldn't before. These include

- **Automating design generation:** AI tools can generate several design options based on your defined parameters. This lets you perform A/B testing to accelerate the design process and ensure that the final design is data driven (see the "Creating Ad Copy" section later in this chapter for A/B testing).
- **Choosing colors:** AI tools can analyze customer interactions and preferences to suggest color schemes that resonate with your target audience. For example, you could analyze sales data to see if specific product colors sell better than others for different customer segments.
- **Making font choices:** AI apps can analyze text elements in real time to suggest popular fonts across different platforms. This can enhance the user experience. Of course, humans need to make the final decision.
- **Image recognition and tagging:** AI apps can automatically tag and categorize images. This process makes it easier for brands to manage their visual assets.

This is crucial for e-commerce platforms where thousands of product images must be sorted and displayed. Doing this manually would take a great deal of time and be prone to human error.

- **Analytics and insights:** AI tools can provide insights by tracking how users interact with your creative elements. Then, this data can be used to make decisions that refine your brand's identity.



TIP To learn how AI tools can impact visual content, check out Book 4, Chapter 3.

## Crafting strong brand messaging

Consistent messaging is crucial for brand building. This is an area in which AI can be especially helpful. AI can optimize your messaging for impact by utilizing its natural language capabilities. Here are a few ways it can assist you:

- **Sentiment analysis:** Sentiment analysis provides insights into how your messaging resonates. It analyzes social media conversations and website comments to identify positive and negative associations, emotions, and perceptions related to a brand. (For more about using sentiment analysis, see Chapter 1 of this book.)
- **Content generation:** AI can generate slogans and taglines and copy alternatives that convey the right positioning.
- **Contextual targeting:** Understanding audience demographics and interests allows AI apps to customize messaging to be more relevant.
- **Competitive analysis:** By monitoring your competitors' messaging and performing a comparative analysis, AI tools can help create significant differentiation between you and your competitors.



REMEMBER Great brands live in the minds of their customers. As a brand, you can't control what your customers think, but you can learn how you impact them based on what they tell you.

## Defining brand voice and tone

Your brand's voice includes your vocabulary, style, and overall personality. It serves as the foundation for building all your customer relationships. You can use AI tools to enhance your branding foster engagement and loyalty. These tools allow you to continuously learn from your customer data to test and refine your brand voice across many touchpoints rapidly. Here are a few ways AI tools support defining your brand voice and tone:

- **Analyzing language patterns:** It's necessary to identify the vocabulary, sentence structures, and idioms that make up your brand's voice. You can codify what makes your brand's voice unique by identifying these elements and applying them.
- **Evaluating values and target audience:** It is essential to understand who your brand is and who it's speaking to. AI tools can evaluate your brand values to identify appropriate voice and tone aspects like formal/informal, emotional/rational, and authoritative/conversational.
- **Competitive analysis:** This step is often overlooked. Knowing how your brand's voice stacks up against competitors can provide insights into areas for differentiation and improvement. You can more confidently create your messaging when you understand how your brand is understood by your customers.



TIP Using AI, data-driven iterations let you quickly prototype and test your brand assets to increase their impact without making decisions blindly.

## Maximizing Conversions

Effective online professionals strive to do all they can to maximize conversions regardless of their position in the organization. AI tools let you optimize every element of your digital presence to get those conversions and sales. They allow you to deliver the right content to the right person at the right time (often referred to as the "holy grail of marketing"). This results in visitors who engage, buy, and promote your brand as advocates.

You can do things to maximize conversions with AI, including segmenting your audience and personalizing content. We look at these in the following sections.

## Understanding the segmentation of audiences

One of the key things AI tools permit you to do when analyzing your audience is divide customers into different segments based on their behavior and preferences. This lets you develop targeted marketing strategies for each segment. This is of enormous value to you as a marketer or salesperson.

Here are some of the benefits you get from AI audience segmentation:

- **Targeting:** AI algorithms can analyze large data sets to identify customer behavior patterns, enabling you to create more accurate segmentation.
- **Adapting in real time:** AI models can adapt to changes in customer behavior. This ensures that the segments are always up to date.
- **Optimizing resources:** You can allocate your marketing resources more effectively by knowing which segments will likely convert.
- **Personalizing experiences:** Personalizing the content you send to customers can significantly boost conversions.
- **Predicting behavior:** AI apps can forecast the future behavior of each segment, allowing you to proactively create effective marketing strategies. (See Chapter 1 for more about predictive analytics.)
- **Enhancing ROI:** Better targeting and allocation of resources lead to higher conversion rates, which improves your ROI.
- **Automating insights:** AI can automatically generate insights about each of your audience segments, making it easier for you to make data-driven decisions.



TIP To utilize segmentation, consider collaborating with influencers or industry experts with a strong following in the specific segments of your target audience. This will give you a better chance to accelerate sales.

If you want to check out some AI tools that segment your audiences, you can consider some customer data platform (CDP) tools like the following:

- **Klaviyo (`www.klaviyo.com`):** Klaviyo is a marketing platform that analyzes customer data like purchases and browsing history to create customized audience segments to send emails and texts.

- **Segment Personas (`https://segment.com/customer-data-platform/`):** Segment Personas is a feature within the Segment CDP, shown in Figure 2-3. It creates segments across channels using data from different sources like your website, mobile app, or customer relationship management (CRM) system.



**REMEMBER** A CDP is software that helps businesses understand their customers by creating a complete customer profile from their customer data. You can then use this profile to create personalized, targeted marketing campaigns that meet customers' needs and preferences.

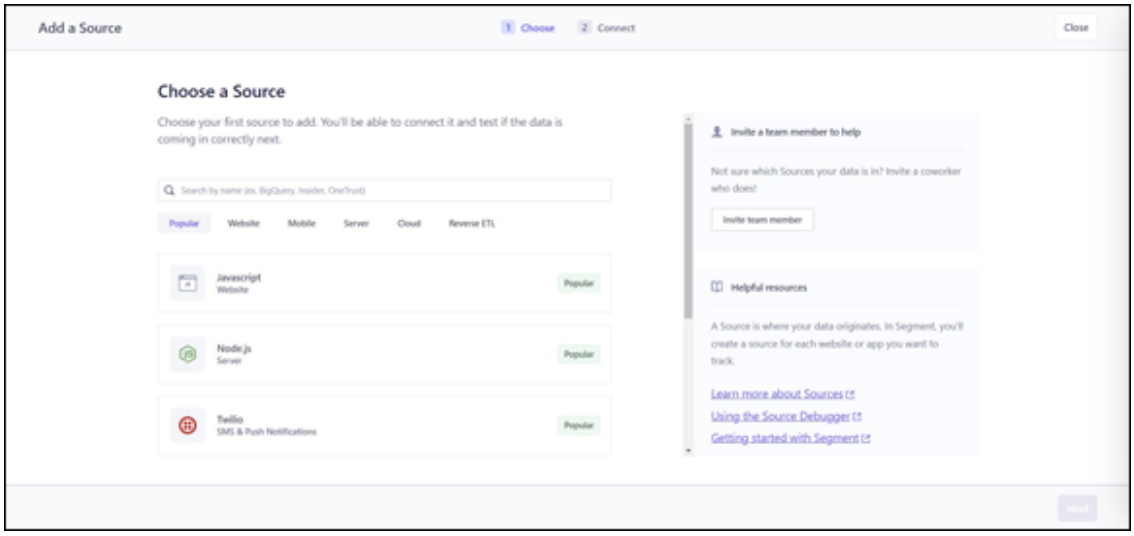



**FIGURE 2-3:** Segment Personas collects your data across different sources you select.

## Personalizing content

We cover AI personalization and its impact on the customer journey in Chapter 1. In this section, we look at two ways it relates to optimizing your sales funnel by personalizing user experiences:

- **Lead scoring:** Lead scoring with AI helps you learn which potential customers are most likely to buy by analyzing current and historical data to see what customers did before they made a purchase. It then uses that information to give scores to new potential customers.
- **Content testing and optimization:** AI tools test multiple content variations, like images, headlines, and copy, to determine which performs best. They also continuously optimize based on new visitor data. By using this real-time data, you're always getting the best optimization.

## Scaling Paid Advertising ROI

Paid advertising is a standard way for brands to drive qualified traffic and sales. AI tools have helped to simplify the creation and management of paid advertising campaigns by conducting in-depth optimization. This would be impossible for staff to do manually.

AI tools are currently very beneficial in producing ads. They automate the process by selecting the most effective keywords, optimizing bids, and creating ad copy that is likely to convert. This analysis not only saves time but also improves the ROI of your advertising campaigns. In the following sections, we look at each process in turn.

### Selecting keywords

AI combs through large amounts of search query data to identify high-performing keywords. It can also predict emerging keyword trends, which allows you to find new opportunities (hopefully before your competitors do). This level of automation and optimization leads to more targeted campaigns, which can drive higher conversion rates.

### Optimizing bids

One great feature of AI ad tools is that they can adjust bids based on real-time metrics and market conditions. This ensures that you get the most value for your advertising dollar. This means that bid optimization is no longer a static, one-time selection.



TIP AI ad tools continuously analyze metrics (like click-through and conversion rates) and changes in competitor bids. This real-time analysis lets the AI adjust bids to maximize ROI, which ensures you're not overspending.

### Creating ad copy

GenAI can produce multiple variations of ad copy, which can then be A/B tested to identify the most effective messaging. It can create multiple variations of ad copy in seconds, each tailored to different segments of your audience. This enables A/B testing, which allows you to quickly identify which messages resonate most with your target market. The AI can also adapt the copy based on real-time performance data to ensure that your advertising continues to be relevant.

### Personalizing and testing

AI can also personalize ad campaigns to individual user profiles and perform continuous testing to optimize performance. AI can segment your audience based on factors like browsing behavior, past purchases, and demographic information. This enables highly personalized ad campaigns that speak directly to the individual's needs and preferences. Additionally, AI can perform continuous multivariate testing on these personalized campaigns, refining them to achieve peak performance over time.




*Multivariate testing* is a method that tests variations of several elements on a web page or application at the same time to determine which combination performs the best. Unlike A/B testing, which compares two versions of a single element, multivariate testing evaluates multiple elements and their variations at the same time.

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**USING AI FOR ADS?**

Are you looking for a way to begin using AI ad tools? If so, consider trying this AI-powered framework to optimize your paid ad performance:

- **Segment your audience:** Leverage AI tools to analyze your customer data and build predictive models to identify your high-value segments. Then, create your ads by starting with high-priority targets.
- **Craft high-converting ads:** Use GenAI copywriting tools to create engaging ad copy and relevant images for each audience. This drives engagement and clicks.

- **Personalize at scale:** After users click through, you should continue personalizing the experience. AI can customize each user's copy and creatives based on their profile and behavior.
- **Optimize campaigns:** Continue using GenAI to extract the maximum value from paid ads across channels like Facebook, Instagram, and Google Ads.

Some tools you might consider trying include

- **AdCreative.ai (`www.adcreative.ai`):** AdCreative.ai is an AI tool that optimizes digital advertising creatives. It provides insights into ad performance and provides competitor tracking.
- **ADYOUNEED (`www.adyouneed.com`):** ADYOUNEED is a multi-platform advertising tool that simplifies and optimizes digital ad creation and management. It supports platforms including Google Ads, Meta Ads (Facebook and Instagram), and LinkedIn.



REMEMBER Constantly optimizing your ads using AI will drive higher-quality traffic and maximize the ROI on your ad budget. This will help you maintain an ongoing scalable engine for online business growth.

## Considering the pros and cons

One of the great benefits of using AI in advertising is that it can analyze real-time data to redistribute budget across various campaigns. This ensures that resources are allocated to the most effective channels, maximizing ROI. Additional benefits include the following:

- **Cost efficiency:** By automating budget adjustments, businesses can reduce the need for manual oversight, thereby saving time and reducing operational costs.
- **Data-driven decision-making:** AI provides actionable insights based on data analytics, which allows you to make more informed decisions. This is particularly useful for identifying trends and making quick adjustments to capitalize on them.
- **Risk mitigation:** AI can predict the performance of different advertising channels and suggest budget adjustments to mitigate risks associated with overspending on underperforming campaigns.

On the negative side, some people have criticized using AI tools in advertising. They believe using AI for budget adjustments could lead to unfair or unethical advertising practices. Here are some of the concerns:

- **Data privacy:** AI algorithms require access to substantial amounts of data for effective decision-making. This raises concerns about how this data is stored, who has access to it, and how it's used. It could potentially infringe on consumer privacy.
- **Transparency and accountability:** The use of AI in advertising often operates in a "black box." This makes it difficult for people to understand how decisions are made. This lack of transparency can be a significant issue when it comes to ethical advertising practices.
- **Regulatory compliance:** Different industries and regions have specific regulations regarding data privacy and ethical advertising. Using AI tools that are not compliant can result in legal repercussions.
- **Unethical branding:** Unethical use of AI can harm a brand's reputation, causing a loss of consumer trust and revenue.

So, what can you do to avoid risk?

- **Vet AI tools.** Before adopting any AI tool for advertising, be sure it complies with industry standards and regulations. These standards include the General Data Protection Regulation (GDPR) and the California Consumer Privacy Act (CCPA). For a complete listing of standards and regulations, check out the Interactive Advertising Bureau (IAB) at `www.iab.com`.
- **Choose transparency.** Pick AI solutions that offer some level of transparency in their decision-making algorithms. Transparent AI solutions are clear, responsible, and ethical. Choosing transparent solutions helps you meet legal standards and gain the trust of your users.
- **Monitor continuously.** Regularly audit the AI's decisions to ensure they align with ethical standards and are free of bias. To do this, first define your own ethical standards and identify potential biases. Look at decision-making data to spot any unfair patterns or issues, and make sure to include people with diverse perspectives to catch biases that may not be obvious.

## Tracking Key Performance Indicators with AI

KPIs are business metrics that help organizations monitor their performance against objectives. Tracking KPIs has always been an important method for businesses to keep their eye on what's important. KPIs help

businesses analyze their growth. Thanks to the use of AI tools, monitoring KPIs has come a long way.

Traditionally, KPIs have been tracked manually. Marketers had to rely on manual processes to collect and analyze data, which was time-consuming and produced errors. Today, AI tools automatically handle data collection and analysis.

Here are some other ways KPI tracking was inadequate:

- **Limitations:** Due to technological limitations, KPIs could focus on only easily quantifiable metrics like sales volume. Marketers couldn't get the understanding of customer behavior that is available today.
- **Siloed data:** Audience segmentation wasn't available in the way AI handles it today. Different departments held different parts of the information, making it almost impossible to get a unified view of marketing performance across different channels and campaigns.
- **Delayed reporting:** Insights from historical data were compiled into reports with a lag time. This lag thwarted the ability to make timely decisions.

Here's how AI tools can significantly enhance the process of KPI tracking to grow your business:

- **Real-time monitoring:** AI apps can continuously collect and analyze data, providing real-time updates on various KPIs. This allows your business to make timely adjustments to your strategies instead of waiting for end-of-month reports. This is a significant improvement because it lets you make changes as soon as they're warranted.



TIP Traditional KPI tracking often focuses on single metrics like sales revenue or customer satisfaction. AI can analyze many metrics at once, which enables a more holistic view of your business's performance.

- **Benchmarking:** AI can compare your KPIs against industry benchmarks or competitor data to better understand your total performance. This data helps you set more realistic targets.
- **Customizing:** AI tools allow for the customization of KPI dashboards, enabling you to focus on metrics specific to your goals and industry. This gives you a clearer picture of the threats and risks you face.
- **Detecting anomalies:** AI algorithms can identify anomalies or outliers in KPI data that could indicate underlying issues. Early detection of these anomalies

lets you take immediate action. This could be troubleshooting a problem or capitalizing on an unforeseen positive trend.

## Innovating New Offers

Most online businesses try to discover their customers' unmet needs and develop new product concepts and features. Launching innovative new products and services is critical for companies that want to remain competitive. But the risks of innovation are high, and coming up with fresh ideas is always a challenge.

This is where leveraging AI tools is valuable. AI helps businesses identify opportunities for new offerings. This section looks at trend forecasting, generating creative concepts, and refining your innovations related to innovating your products.

### Trend forecasting

Being able to see around corners is a very valuable skill. AI-generated reports help anticipate future events by analyzing historical data and current markets. AI predictive analytics can help you capitalize on market trends and provide insights about events that could negatively impact your business. This predictive capability readies companies for challenges and opportunities they may not see coming.



**REMEMBER** Your analysis will only be as good as the quality of your data. The insights will be misleading or unreliable if you have error-prone or inaccurate data. For instance, AI tools can analyze several years of sales data to predict future products that may be popular. But if your sales data is flawed, your analysis will be, too.



**WARNING** AI tools can tell you what is happening, but they can't tell you why it's happening. For that, you still need to apply your business and industry knowledge. For example, an AI tool could alert you to a big in-

crease in social media mentions, but it (and you) won't know if this is due to a successful marketing campaign, a viral news story, or some other factor.

### Generating creative concepts

You can conceptualize new products or services with the insights you've collected from your AI tools. You can input an idea, and AI can help produce detailed concepts to evaluate. This content speeds up the ideation process and provides faster decision-making.

### Refining your innovation

When you have a promising idea, AI tools can help you refine it into a workable concept. GenAI tools can write business plans, create relevant marketing copy, and even produce pitch decks to help launch your innovation.



**REMEMBER** You can continually ideate, develop, and launch new offerings by developing an AI pipeline. Integrating AI into your innovation strategies will help you deliver unique, relevant products that will hopefully make your competitors have to play catch-up.